HEATHERSTONE

HOMEOWNERS ASSOCIATION INC.

What Our HOA Insurance Covers (and What It Doesn't)

Our Association carries a **master insurance policy** that protects the community's shared structures and common areas. Homeowners also need their **own** insurance for what the HOA policy does *not* cover.

This summary explains the basic division of responsibility.

What the HOA's Master Policy Covers

1. Buildings to "bare walls" (structure only)
The Association insures all buildings and structures in the community for **100% of their replacement cost**, excluding foundations/footings and excavation. Coverage is to **commercial builder-grade / bare walls**:

- Framing, roof, exterior walls, and other structural components
- Original "bare" interiors (not your upgraded finishes)
- Association-owned structures in the common areas

Important: This policy does **not** cover your personal property, your interior upgrades, or your personal liability.

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2. Common area liability
The HOA carries a **comprehensive general liability policy** on the **Common Areas** with a minimum limit of **$3,000,000 per occurrence** for bodily injury and property damage. This helps protect:

- The Association and its Board
- Owners, their families, tenants, and guests while using the common areas

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3. Directors & Officers and other protections
The Association also carries:

- **Directors & Officers (D&O)** liability insurance
- **Contractual liability** coverage
- Any other coverages the Board deems appropriate (for example, umbrella or specialty policies)

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4. Fidelity / crime coverage
To protect Association funds, the HOA maintains a **fidelity bond** (crime/employee dishonesty coverage) on anyone who handles Association money.

What Homeowners Are Responsible to Insure

You are responsible for insuring everything **inside** your unit that the master policy does not cover, including:

- **Interior improvements & betterments**

  - Flooring and carpet
  - Cabinets, counters, built-ins, and shelving
  - Interior doors and trim
  - Upgraded fixtures and finishes
- **All personal property**
  - Furniture, clothing, electronics, décor, etc.
- **Your personal liability** (injuries or damage you cause)
- **Additional living expenses** if you can't live in your home after a covered loss
- **Your own condo/homeowner policy deductible**
- **Any master-policy deductible allocated to your unit** when a building claim involves damage to your home

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How Deductibles Work

- The HOA chooses the deductible on the master policy.
- If there is a covered loss to a building and your unit is part of that claim, **the master-policy deductible for that loss is charged to you (the affected owner).**

You should make sure your personal policy is set up so that you are not blindsided by that deductible.

What to Tell Your Insurance Agent

When you talk to your agent, tell them:

- You live in an HOA with a **master "bare-walls/builder-grade" policy**.
- The HOA insures the structure; **you must insure all interior improvements and personal property.**
- You may be responsible for a portion (or all) of the **master policy deductible** if your unit is involved in a claim.

Ask about an **HO-6 (condo unit-owner) policy** or equivalent that includes:

- Building/"improvements & betterments" coverage
- Personal property coverage
- Personal liability
- Loss of use/additional living expense
- Coverage for the HOA master-policy deductible (if available)

Bring this page and your agent can match your policy to what the HOA actually covers, based on the Declaration and its amendments.